The $70bn Signal

Verizon + Lockheed Martin → Goldman, 9 July 2026: the anatomy of the deal, the technicals underneath it, and why it is One Goldman Sachs in a single announcement

Deep-dive companion to the GSAM Study Bible · badges: VERIFIED = press release / on-record reporting · LIKELY = credible secondary · BEST GUESS = labelled inference · TRANSCRIPT = your events

What was announced, in one breath

On **9 July 2026** Goldman Sachs Asset Management was appointed by **two of America's largest corporations in a single announcement**: OCIO for roughly **$30bn of defined-benefit pension assets** across Verizon (~$10bn) and Lockheed Martin (~$20bn), plus adviser to **~$40bn of Verizon's defined-contribution plan**. Combined: **over $70bn**, taking GSAM to **$480bn of OCIO assets globally** and confirming it as the market leader in a sector projected to reach **$4.2 trillion by 2028**.

And the sentence that matters most came from Marc Nachmann, global head of Asset & Wealth Management: **"Large plan sponsors are consolidating responsibilities with one partner with the investment expertise and depth of platform to manage their bespoke needs."** Read that twice. *One partner. Depth of platform.* That is One Goldman Sachs, translated into client language, in the firm's own press release.

1. The anatomy of the deal — who handed over what

~$10bn	~$20bn	~$40bn
Verizon DB pension full OCIO · assets under management (discretionary)	Lockheed Martin DB OCIO · alternatives, global equities, fixed income	Verizon DC plan assets under ADVISEMENT (non-discretionary)

Split per Institutional Investor; press release states ~$30bn DB OCIO combined + ~$40bn DC advisement. VERIFIED

The technical distinction hiding in plain sight: AUM vs AUA

This deal contains **two completely different kinds of mandate**, and knowing the difference instantly puts you ahead of most applicants:

	DB assets *under management* (the $30bn)	DC assets *under advisement* (the $40bn)
Discretion	Goldman **decides and executes**. Full delegated authority within trustee-set guidelines: allocation, manager hiring/firing, hedging, rebalancing.	Goldman **recommends; the client decides**. Advises on the 401(k) menu, fund selection, structure. No discretionary control.
Whose money, structurally	A pooled fund backing the company's *pension promise* to retirees. The company bears the investment risk.	Individual employee accounts (the US 401(k)). *Employees* bear the investment risk; the employer curates the menu.
Fee level BEST GUESS	Low single-digit basis points up to ~10–20bps depending on scope; higher on private-markets sleeves.	Lower still — advisory retainers/bps. Thin margin, huge scale.
Why take the thin one?	—	Because advisement is the **front door**: it deepens the corporate relationship, positions GS for future discretion, and connects to the workplace channel (see §4).

What Goldman actually delivers VERIFIED (from the release)

- **Customised public AND private market solutions** — one portfolio spanning both, which almost no in-house team can staff for.
- **Open-architecture portfolio construction** — Goldman allocates across *other managers'* funds, not just its own. Technical nuance worth knowing: GS products can appear in an OCIO portfolio only under strict conflict-of-interest controls; the pitch is "best manager for each sleeve, ours or not." That open-architecture credibility is precisely what makes clients comfortable handing over everything. LIKELY (standard OCIO practice)
- **Custom liability-hedging programmes** — the US corporate cousin of LDI: matching asset duration and credit spreads to the discount rate that values the pension liability, so the funded ratio stops swinging with bond markets.
- **Real-time analytics, risk management and governance transparency** — the trustees keep the steering wheel and the dashboard; Goldman runs the engine.

2. Why this deal happened — the forces underneath

LIKELY (Institutional Investor + industry consensus)

1. **Funded status is at generational highs.** Years of higher interest rates shrank the present value of pension liabilities, leaving many big US DB plans fully or nearly fully funded. Counterintuitively, that makes sponsors *more* likely to outsource: the mission changes from "earn returns" to "protect the surplus and hedge the liability," a specialist's game with no glory left in it for an in-house team.
2. **Complexity outgrew the in-house model.** The portfolios that get there now need private credit, private equity, real assets, sophisticated hedging — capabilities that are expensive to staff internally. Institutional Investor's blunt summary: running it in-house is "no longer worth the cost and complexity."
3. **Access to private markets.** Sponsors explicitly want broader capabilities, "including access to private market assets" — and note who told you the same thing first: Ahmed, describing pensions and insurers structurally increasing private-credit allocations. TRANSCRIPT
4. **Governance and accountability.** One partner, one throat to choke, executive-level transparency — versus coordinating a consultant, a dozen managers and an internal team.

3. How this shows One Goldman Sachs — the technical version

(a) The product IS the platform

Look at the service list again: public markets + private markets + manager research + liability hedging + analytics + execution + governance. **No single team at any firm owns all of that.** Delivering one OCIO mandate forces multi-asset solutions, external manager selection, alternatives, risk, trading and client coverage to perform as one instrument — for one client. An OCIO win is not a product sale; it is the platform, conducted. Jack's orchestra metaphor is literally the operating requirement of this contract. TRANSCRIPT

(b) Nachmann's sentence is the strategy speaking

> *"Large plan sponsors are consolidating responsibilities with **one partner** with the investment expertise and **depth of platform** to manage their bespoke needs."*
>
> **Marc Nachmann, global head of Asset & Wealth Management, 9 Jul 2026 press release**

Clients consolidating to one partner is the demand side; One Goldman Sachs is the supply side. The deal is the moment the firm's internal reorganisation (the consolidation Ahmed described — "stop confusing the outside world") meets a market that now *wants* exactly that shape. Strategy and demand arriving at the same place is what a franchise looks like.

(c) The relationship spans the whole firm BEST GUESS — frame carefully

Verizon and Lockheed Martin are among the most banked corporations in America — bond issuance, advisory, hedging, treasury. It is reasonable inference (not a published fact — do not state it as one) that Goldman's relationships with these companies long predate this mandate and span GBM. The One-GS reading: the trust a corporate builds with a firm across decades of banking becomes the bridge across which a $70bn retirement mandate walks. And the DC advisement piece extends the relationship into the *workplace* — adjacent to Goldman's Ayco business, which does financial counselling for corporate employees. One client, touched by the firm at the treasury, the boardroom, the pension trust, and the employee's 401(k). Ayco's existence and role: VERIFIED; its involvement here: not stated

(d) The franchise flywheel — trust compounding at institutional scale

2022	2023	2024	2024–25	Jul 2026
NN IP €1.7bn Europe + ESG shelf	BAE £23bn largest UK OCIO ever	UPS $43.4bn #1 US OCIO confirmed	Shell $40bn · Eli Lilly $25bn the streak nobody noticed	Verizon + Lockheed $70bn+ $480bn OCIO AUS

Each win is reference capital for the next: a trustee board choosing an OCIO looks first at who its peers chose. BAE made UPS easier; UPS made Shell and Eli Lilly easier; all four made a double announcement possible. **This is Mini's trust-compounding logic from your insight day, operating at franchise level instead of personal level** — the firm's relationships compound exactly the way she said an individual's do. TRANSCRIPT Shell/Eli Lilly figures: Institutional Investor

4. What it means — economics and strategy, honestly

- **Durable fees at maximum stickiness.** OCIO margins are thin in basis points but enormous in dollars at $480bn, and the switching costs are brutal — moving an OCIO means re-papering an entire investment programme. This is the most durable revenue in asset management, which is precisely the revenue the firm's valuation strategy prizes.
- **The cross-sell gateway.** Inside every OCIO portfolio sits a private-markets allocation; under conflict rules, some of it can be filled with GS alternatives funds — connecting the $480bn OCIO franchise to the $627bn alternatives engine. One mandate feeds the other. BEST GUESS on magnitude; mechanism standard
- **Scale begets scale.** In a sector heading toward $4.2tn by 2028, the market leader gets the first call on every RFP — the same "first call" dynamic your securities-lending session described. TRANSCRIPT
- **The client-solutions implication.** A mandate this size is won over years and kept through quarterly reviews forever after. The announcement is the visible 1%; the other 99% is coverage, RFPs, finals, onboarding and retention — the exact lifecycle of the seat you're applying to.

5. The honest counter-case — know it before an interviewer raises it

Not everyone is outsourcing. A corporate CIO overseeing $24bn told Institutional Investor there is "a very strong case for keeping management of the pension plan in-house, especially for plans more than $5 billion" — and Delta, IBM and Exelon have *re-internalised* after outsourcing experiences. VERIFIED (II)

Why knowing this makes you stronger, not weaker: it means OCIO is a contested, must-keep-proving-it business — mandates can leave. Which is exactly why retention, service and the client relationship are not soft extras but the economic core — and why the Client Solutions function is staffed with careers rather than a sales quota. If an interviewer tests you with "isn't OCIO just outsourcing hype?", this counter-case plus that answer is a genuinely impressive response.

6. Using it — letter vs interview

- **In the letter: one line, maximum.** The power is freshness and precision — e.g. the fact that five weeks ago two of America's biggest companies handed Goldman $70bn *in the same announcement*. Anything longer becomes a news report; you've already built the letter's spine elsewhere.
- **In interviews: this is a whole conversation you can now hold.** Be ready for: What is OCIO? (your one-liner: an institution outsourcing its entire investment function — strategy, managers, hedging — while trustees keep the objectives.) AUM vs AUA? DB vs DC? Why are fully-funded plans outsourcing? What does Goldman actually do for the fee? What's the counter-argument? Every answer is in this document.
- **The deep cut that would floor an interviewer:** connecting Nachmann's "one partner… depth of platform" to Ahmed's consolidation story and Jack's orchestra — three sources, one strategy, and you heard two of them in the room.

Sources. GSAM press release, 9 Jul 2026 (mandate scope, services, Nachmann quote, $480bn OCIO AUS as of 31/3/26); Institutional Investor, "Why Top Pensions Like Verizon and Lockheed Martin are Outsourcing to Goldman" (mandate splits, Shell $40bn / Eli Lilly $25bn, $4.2tn-by-2028 projection, in-house counter-case); CNBC / P&I / PLANADVISER coverage (Jul 2026); your insight-event transcript for Ahmed, Jack, Mini and securities-lending references. Fee levels and cross-sell magnitudes are labelled BEST GUESS — Goldman does not disclose them. Re-verify any figure before quoting it aloud; the press release is the overriding source.